



Some points to be mindful of

Rachit Jain, Partner at Lakshmikumaran and Sridharan, advises importers to keep a check on a few important points that are yet to be fully clarified by the government, such as:

A general suggestion would be to be extremely careful in going forward and claiming an exemption which you have been claiming henceforth, because there have been structural changes in terms of phase wise withdrawal of exemptions.

Do not rely solely on the websites and online repositories. Making changes on the websites takes time and there have been errors in the past. So, relying on these sources for filing a Bill of Exemption and claiming those exemptions could be problematic.

Also, be mindful of when those exemptions are proposed to be withdrawn.

The last Union Budget introduced Section 25 (4A), under which a two-year expiry of shelf life has been brought about. In exercise of those powers, expiry dates have been introduced in various items this year. Please be mindful if you are impacted by those dates. If yes, it may be a responsibility of the industry to represent this to the CBIC (Central Board of Indirect Taxes) and request exemption. Otherwise, they will expire.

made this Budget different from those of the past years were the surprising and exceptional elements added in it, making it one whose purported impact would be remembered for a long time.

While the implementation and impact of these decisions can only be seen by those who choose to wait patiently, here are some ways in which the Union Budget 2022-23 could prove to be a game-changer for the electronics industry of India.

The fundamentals

Let us first look at the broader initiatives announced by the government of India and how they are liable to impact the tech and electronics demand in the country:

1. Capex up by 35.4%. Capex target has been increased from ₹5,540 billion to ₹7,500 billion with FY23's effective capex seen to be at ₹1,070 billion. With increasing share of tech in any capex investment, can this translate into a good increase in demand for tech solutions?

2. 150,000 new banks. All the 150,000 post offices will come on the core banking system, enabling financial inclusion and access to accounts through net banking, mobile banking, ATMs, etc. Can this result in greater demand for ATMs, computers, networking, security, and related electronics?

3. 400 new trains. 400 new-generation Vande Bharat trains will be developed and manufactured

in the next three years. Again, can this result in increased demand for display screens, cameras, and other tech solutions involved in trains?

4. Digital currency! Digital Rupee, using blockchain, to be launched by RBI in 2023. Now this could be a game changer—it could end or reduce demand for many products like currency counting machines and ATMs, and increase demand for mobile devices to enable transactions—if we need anything other than our mobile phones.

5. 5G in 2022. 5G spectrum auctions to be conducted this year, which may result in greater demand for 5G related electronics, both at the back end and front end.

6. Rating for MSMEs. ₹60 billion programme to rate MSMEs to be rolled out over five years. This may make it easier and safer for us to select the right firms to do business with or extend credit to.

7. E-procurement system. A completely paperless, e-bill system will be launched by ministries for procurement. Will this increase demand for paperless tech, including scanners, computers, and networks? Plus, will this enable faster and more transparent (and less corrupt) procurement?

8. Indigenous rail network. 2,000km rail network to be brought under indigenous technology (KAWACH) for safety and capacity augmentation. Will this result in demand for various tech solu-

tions related to safety, security, and signaling?

9. Domestic defence. 68% of capital procurement budget in defence will be earmarked for domestic industry in 2022-23 (up from the 58% last fiscal). Hopefully, this too should result in increased demand for indigenous electronics and tech solutions.

Change in tariff and notifications

There have been numerous changes in customs tariffs, especially keeping in mind the goal of the government to provide a boost to the electronics manufacturing sector and make the country a manufacturing hub. More than 350 obsolete exemption notifications have been deleted. However, various rate changes and structural changes have made it difficult to gauge how it would affect importers who are looking to claim an exemption that has been revised.

There has also been a change in customs notifications and customs tariffs, wherein many exemptions have been moved from notification to the tariff. Such movement, in certain cases, has resulted in change in effective rate of duty. But in some cases, there are no changes in the effective rate of duty. A lot of new tariffs have also been introduced. New entries with respect to wireless products have also been introduced.

The industry, in general, has been glad that the government has taken in consideration their several recommendations and introduced changes in duties on inputs through customs duty in several products, such as chargers, transformers, solar cell inputs and reviewing Customs Notification 25/1999 and 50/2017, thereby rationalising the duty considerations for various electronic components and subassemblies.

While there have been many changes made to customs tariffs, some of the significant ones are included in Table 1.